Lecture 05 (2026-05-24)

Quick Summary

- **Exam Requirements:** Students must know accounting principles, the distinction between assets, liabilities, income, and expenses, the accounting equation, statements of profit and loss (income statement) and balance sheets, and the basics of management accounting.
- **Accounting Focus:** The exam focuses on the **analysis** of statements as managers, rather than the **preparation** of statements (e.g., Journal, Ledger, and Trial Balance are for preparation and are not the focus of the exam).
- **Management Analysis:** Identifying "Red Flags" in financial statements, such as discrepancies between profit and cash, manipulation of non-cash expenses (Depreciation/Amortization), and aggressive revenue recognition (Channel Stuffing).
- **Risk Management Strategy:** Companies may use special subsidiaries to isolate high-risk operations (like R&D) from the main balance sheet to protect the primary entity's image and risk profile.

Key Definitions

- **Asset:** Items on the Left-Hand Side (LHS) of the expanded accounting equation.
- **Liability:** Items on the Right-Hand Side (RHS) of the expanded accounting equation.
- **Income:** Items on the Right-Hand Side (RHS) of the expanded accounting equation.
- **Expense:** Items on the Left-Hand Side (LHS) of the expanded accounting equation.
- **Equity:** Owner's equity; items on the Right-Hand Side (RHS) of the expanded accounting equation.
- **Rent Prepaid:** An asset (LHS) because the time to pay has not yet arrived.
- **Rent Outstanding:** A liability (RHS) because the time to pay has passed but the payment hasn't been made.
- **Drawings:** A distribution of profit to a sole proprietor (used in place of the term "Dividend" for sole proprietorships).
- **Equity Shares:** Units of ownership; issuing these increases the number of owners, thereby increasing Owner's Equity.
- **Top Line:** A term used to describe **Total Revenue** (the top line of a statement of profit and loss).
- **Bottom Line:** A term used to describe **Net Income** or Net Profit (the final profit after all expenses/taxes).
- **EBIT:** Operating Profit (Earnings Before Interest and Taxes).
- **EBITDA:** Earnings Before Interest, Taxes, Depreciation, and Amortization.
- **Accounts Payable:** Also known as **Creditors**; these are short-term liabilities.
- **Pre-received Income:** Income received before it is earned; a source of short-term funding.
- **Fixed Assets:** Capital expenditures (e.g., Plant, Property) that generate **operating income**.
- **Investments:** Long-term assets that provide **other income** (not operational).
- **Cost of Goods Sold (COGS):** The cost of items actually sold; calculated using the inventory movement formula.
- **Operating Expenses:** Any expense incurred in the business that is **not** part of the Cost of Goods Sold (e.g., administration, office expenses).

  Non-Cash Expenses: Expenses that do not involve an immediate movement of cash in the reporting period. These include:
  - **Depreciation:** Loss of value of a tangible asset.
  - **Amortization:** Loss of value of an intangible asset (e.g., patents, mining rights, software).

    - **Impairment.**
    - **Provision.**
    - **Bad Debt.**
- **Channel Stuffing:** The practice of inflating sales figures by sending more goods to distributors/dealers than they can sell, often just before the end of a quarter.
- **Debt-for-Equity Swap:** The process where a company's debt is converted into equity. This removes interest expenses (which reduce profit) and replaces them with dividends (which occur after the bottom line).
- **Special Purpose Entity (SPE):** An entity created to perform a specific task or hold specific assets; used to move high-risk assets or liabilities (like large accounts receivable) off the main balance sheet to make the primary company appear less risky.
- **Off-balance Sheet Items:** Items such as guarantees or commitments that are not listed on the main balance sheet but can hide significant debt or risk.
- **Related Party Transactions:** Transactions with sister companies or affiliates. A red flag occurs when these are conducted on "non-arm's length" terms or at inflated prices to artificially boost revenue.
- **Red Flag 7 - Complex Financing Structures:** (Shown on screen) Mechanisms used to manage risk and debt through complex structuring.

Worked Examples

1. Rent Paid (₹5,000) - **Calculation/Entry:** - Debit: Rent (₹5,000) - Credit: Cash (₹5,000) - **Reasoning:** Rent is an expense (LHS). An increase in an LHS item is a debit. Cash is an asset (LHS). A decrease in an LHS item is a credit. Because both items are on the LHS, the transaction balances by moving from one LHS item (Cash) to another (Rent).

2. Rent Outstanding (₹5,000) - **Calculation/Entry:** - Credit: Rent Outstanding (₹5,000) - **Reasoning:** "Outstanding" indicates a liability (RHS). Since the liability is increasing, it must be credited.

3. Rent Prepaid (₹3,500) - **Calculation/Entry:** - Debit: Rent Prepaid (₹3,500) - Credit: Cash (₹3,500) - **Reasoning:** Rent Prepaid is an asset (LHS) that is increasing. Cash is an asset (LHS) that is decreasing. Note: This is **not** recorded as an expense because the "time to pay" has not yet arrived.

4. Rent Outstanding (from previous year) paid this year (₹5,000) - **Calculation/Entry:** - Debit: Rent Outstanding (₹5,000) - Credit: Cash (₹5,000) - **Reasoning:** Cash is an asset (LHS) decreasing (Credit). Rent Outstanding is a liability (RHS) that no longer exists after payment, thus it is decreasing. A decrease in a RHS item is a debit. It is **not** recorded as an expense because it was already recognized as an expense in the year it occurred.

5. Rent Prepaid (from just a few years ago) paid this year (₹2,500) - **Calculation/Entry:** - Debit: Rent (₹2,500) - Credit: Rent Prepaid (₹2,500) - **Reasoning:** "Rent Prepaid" was an asset (LHS) from last year; it is now decreasing (Credit). "Rent" is the expense occurring in the current period (Debit).

6. Purchase of Goods (₹45,000) with 10% Cash Discount - **Note:** Calculation of discount applies to the "Cash Discount" specifically.

7. Purchase of Goods with Trade and Cash Discounts - **Calculation/Entry:** - Debit: Purchase (₹40,500) - Credit: Cash (₹36,450) - Credit: Discount Received (₹4,050) - **Reasoning:** - **Trade Discount:** 10% of ₹45,000 is ₹4,500. This is subtracted immediately. The transaction is recorded at the value **after** trade discount but **before** cash discount. - **Purchase:** Record as ₹40,500. Since it is an expense (LHS) increasing, it is debited. - **Cash Discount:** 10% of ₹40,500 is ₹4,050. This is "Other Income" (RHS). An increase in RHS is a credit. - **Cash:** The amount paid is ₹40,500 - ₹4,050 = ₹36,450. As an asset (LHS) decreasing, it is credited. - **Data Table:** | Item | Calculation/Details | | :--- | :--- | | Purchase before trade discount | 45,000 | | Trade Discount (10%) | 4,500 | | Purchase (before cash discount) | 40,500 | | Cash Discount received (10%) | 4,050 | | Cash Paid | 36,450 |

8. Purchase Return (₹8,500) - **Calculation/Entry:** - Debit: Cash (₹8,500) - Credit: Purchase Return (₹8,500) - **Reasoning:** Cash is an asset (LHS) increasing, so it is debited. "Purchase Return" is treated as the opposite of an expense (a decrease in expense). Since a decrease in an LHS item is a credit, Purchase Return is credited.

9. Credit Purchase and Settlement (Ram) - **Transaction A: Purchase from Ram (₹5,000)** - Debit: Purchase (₹5,000) - Credit: Ram (₹5,000) - **Reasoning:** Purchase is an expense (LHS) increasing. Ram is a liability (RHS) increasing. - **Transaction B: Payment to Ram in full settlement (Settlement of ₹5,000 with ₹200 discount)** - Debit: Ram (₹500) - Debit: Discount Received (₹200) - Credit: Cash (₹4,800) - **Reasoning:** Ram's liability is decreasing (Debit). The discount received is "Other Income" (RHS) increasing (Credit). Cash is an asset decreasing (Credit). - **Note:** The total debit for Ram (₹5000) accounts for the full removal of the liability, while the credit of ₹4800 to Cash and ₹200 to Discount Received balances the entry.

10. Loss by Fire (₹10,000) - **Calculation/Entry:** - Debit: Loss by Fire (₹10,000) - Credit: Inventory / Stock (₹10,000) - **Reasoning:** Loss by Fire is an expense (LHS) increasing (Debit). The asset being lost (Inventory/Stock) is decreasing (Credit).

11. Insurance Claim (₹8,000) - **Calculation/Entry (Claim Accepted):** - Debit: Insurance Claim (₹8,000) - Credit: Loss by Fire (₹8,000) - **Reasoning:** An "Insurance Claim" is an asset (LHS) because the benefit has been confirmed but not yet received in cash. "Loss by Fire" is an expense; since the claim is accepted, the "net" loss decreases, hence the expense is credited. - **Calculation/Entry (Upon Cash Receipt of ₹8,000):** - Debit: Cash (₹8,000) - Credit: Insurance Claim (₹8,000) - **Reasoning:** Both are assets (LHS). Cash is increasing (Debit), and the "Insurance Claim" asset is being fulfilled/decreasing (Credit).

12. Insurance Claim (Partial/Staggered Payment) - **Scenario:** Loss of ₹10,000. Insurance company admits a claim of ₹8,000. Only ₹7,300 is received immediately. - **Calculation/Entry:** - Debit: Insurance Claim (₹8,000) - Credit: Loss by Fire (₹8,000) - **Next Entry (upon receipt of ₹7,300):** - Debit: Cash (₹7,300) - Credit: Insurance Claim (₹7,300) - **Reasoning:** If a claim is **admitted** by the insurer (e.g., ₹8,000), it is recorded as an asset for the full admitted amount. Even if it is paid in installments or only partially, the remaining balance (e.g., ₹700) stays in the "Insurance Claim" account as an asset. You only record what is actually received in the "Cash" account.

13. Owner's Drawings - **Calculation/Entry:** - Debit: Drawings (₹[Amount]) - Credit: Cash (₹[Amount]) - **Reasoning:** For a sole proprietor, "Drawings" is used instead of "Dividend." It represents a distribution of profit to the owner. Because it is a distribution of profit (similar to a dividend), it is treated as a reduction in owner's equity. Cash is an asset (LHS) decreasing, hence a credit.

14. Issuance of Equity Shares (₹50,000) - **Calculation/Entry:** - Debit: Cash (₹50,000) - Credit: Equity (₹50,000) - **Reasoning:** When shares are issued, more people are becoming owners of the company. Therefore, the Owner's Equity (RHS) increases.

15. Profit Margin Calculation - **Formula:** $\text{Profit Margin} = \frac{\text{Net Income}}{\text{Sales}} \times 100$

16. EBITDA Calculation - **Scenario:** Given Operating Profit (EBIT) of 900 and Depreciation/Amortization of 200. - **Calculation:** $900 + 200 = 1,100$ - **Reasoning:** Depreciation and Amortization are expenses (negative values). To "remove" a negative number from a calculation (to move from EBIT to EBITDA), you must **add** it back.

17. Cost of Goods Sold (COGS) Calculation - **Formula:** $\text{Opening Stock} + \text{Purchases} - \text{Closing Stock} = \text{COGS}$ - **Example:** Opening Stock (500) + Purchases (300) = 800 total items. If 200 remain at closing, the 600 difference represents the items sold.

18. Balance Sheet Categorization - **Source of Financing (RHS):** - **Long-term:** Capital, Long-term Loans. - **Short-term:** Accounts Payable (Creditors), Pre-received Income, Outstanding Expenses. -

Application of Funds (LHS): - **Long-term:** Fixed Assets (generate operating income), Investments (provide "Other Income"). - **Current:** Cash, Inventory, Accounts Receivable.

19. Debt-for-Equity Swap Impact - **Scenario:** A company converts its debt into equity shares. - **Reasoning:** Debt comes with an interest expense (which reduces profit). Equity does not have an interest expense; it only involves dividends (which are paid after the "bottom line"). By swapping debt for equity, a company removes the interest expense from its calculation, making the profit appear higher without the underlying business performance actually improving.

20. Red Flag 2 - Transactions Boosting Profits Without Real Performance - **Content:** - **S1:** [Standardized Image content] Unusual asset sales, debt-for-equity swaps, or other one-off transactions that inflate reported profits. - **Risk:** Creates a misleading picture of operational success.

21. Red Flag 3 - Accounts Receivable (AR) Growth - **Scenario:** AR grows significantly faster than sales. - **Logic:** This suggests "Channel Stuffing." To inflate top-line sales, a company pushes goods to a dealer/distributor who cannot sell them yet. The sale is "booked" but the cash is not received. - **Risk:** If a company has high sales but a corresponding spike in AR, it may be "hiding" the fact that the demand is not real or that the distributor is overwhelmed.

22. Red Flag 4 - Inventory Analysis - **Scenario:** Inventory builds up disproportionately to sales. - **Analysis:** - **Finished Goods Build-up:** Indicates slowing demand or that the channel is unable to move the stock. - **Work in Progress (WIP):** Can indicate expected demand for the coming period. - **Risk:** If inventory is piling up, the company may be over-purchasing or pushing products that are no longer in demand.

23. Red Flag 5 - Cash Flow Gap - **Scenario:** High Net Income but low/no cash flow. - **Reasoning:** If profit is rising but cash is not, it often indicates aggressive accrual estimates or over-optimistic "percentage of completion" methods. - **Risk:** A company cannot sustain operations without cash. Large gaps often signal that profits are being "created" on paper through accounting maneuvers rather than actual sales.

24. Red Flag 6 - Earnings and Taxable Income Gap - **Scenario:** Large discrepancy between "investor" profit and "tax" profit. - **Reasoning:** Companies often keep two sets of books: one for investors and one for tax authorities. - **Risk:** A significant gap (often shown as large deferred tax assets/liabilities) may indicate the company is trying to hide its true profitability or move figures between the two sets of books.

25. Red Flag 7 - Complex Financing Structures - **Content:** - **S2:** [Standardized Image content] Use of R&D partnerships, Special Purpose Entities (SPEs), or selling receivables with recourse. - **Risk:** These structures can be used to hide debt or move underperforming assets off the main balance sheet.

Formulas & Rules

Expanded Accounting Equation: - $\text{Assets} + \text{Expenses} + \text{Dividends (LHS)} = \text{Liabilities} + \text{Income} + \text{Equity (RHS)}$

Debit/Credit Rules: - **LHS (Assets, Expenses, Dividends):** - Increase = Debit - Decrease = Credit - **RHS (Liabilities, Income, Equity):** - Increase = Credit - Decrease = Debit

Profit & Loss Structure: - Gross Profit = Net Revenue - Direct Expenses - Operating Profit (EBIT) = Gross Profit - Operating Expenses - EBITDA = EBIT + Depreciation and Amortization - Net Income (Bottom Line) = EBIT - Interest - Tax

Inventory Rules: - $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} - \text{Closing Stock}$

Analysis Rules: - **EBITDA Logic:** Used primarily by manufacturing firms because Depreciation and Amortization are large, non-cash costs that can be easily manipulated. - **Asset Valuation:** Amortization is specifically used for the fall in value of intangible assets (Patents, Software, Mining Rights). - **Revenue Recognition:** Changing the "timing" of a sale (e.g., from "on receipt" to "on shipping") is a common way to manipulate the top line.

Tricky Logic & Traps

- **Accrual Basis vs. Cash Movement:**
  - **Rent Prepaid:** Even though money is changing hands, do not record it as an **expense** if the time to pay has not yet come. It is an **asset** (LHS).
  - **Rent Outstanding:** If you are paying a "Rent Outstanding" from a previous year, it is a **reduction in liability**, not a current expense. You must not record it as an expense, or you will be counting the same expense twice.
- **Calculation of Discounts:**
  - **Trade Discount:** This is not recorded in a ledger; it is subtracted from the initial purchase price before recording the "Purchase" amount.
  - **Cash Discount:** This is recorded as "Other Income" (RHS).
- **Purchase vs. Inventory:** In some international contexts, purchases are recorded as an increase in inventory (Asset). However, in this course, **Purchase** is treated as an **Expense** (LHS).
- **Purchase Return:** This is treated as the **opposite of an expense** (a reduction in expense). It is a credit to the expense category.
- **Insurance Claim:** An "admitted" claim is an **Asset** (LHS) because the benefit is expected in the future. If a claim is accepted, it reduces the balance of the "Loss by Fire" expense.
- **Partial Payment Logic:** If an insurance claim is admitted for a specific amount but paid in tranches or only partially, the **admitted** amount remains as an asset. The remaining amount stays in the "Insurance Claim" account until it is physically received.
- **Drawings vs. Dividends:** For a sole proprietor, use the term **Drawings** to represent the distribution of profit. It is logically identical to a "Dividend" in a corporate structure; both are ways of sharing profit with the owner/shareholders.
- **Equity Share Issuance:** Issuing shares is an increase in the number of owners, which directly increases **Owner's Equity**.
- **Naming Conventions:** Terms like "Rent Prepaid" and "Prepaid Rent" are interchangeable, but you must remain consistent with the chosen term throughout the reports.
- **Why use the Equation?** The equation is used to dissect a transaction to simply ensure it balances; identifying which side of the equation the movement occurs on is the key to identifying it as an asset, liability, or income.
- **EBITDA "Addition" Logic:** When moving from EBIT to EBITDA, you must **add** Depreciation and Amortization. Because these are expenses (negative values), "removing" them from the profit calculation requires addition.
- **Fixed Assets vs. Investments:** While both are Long-term Assets, **Fixed Assets** (Plant, Property) are for generating **operating income**, while **Investments** are for generating **other income**.
- **Top Line Manipulation:** Increasing the "Top Line" (Revenue) is often done via **credit sales**, as they are easier to manipulate/accelerate compared to cash sales.
- **Operating Expenses Definition:** Any expense incurred in business that is **not** part of the Cost of Goods Sold (e.g., administration, office expenses) is categorized as an **Operating Expense**.
- **Accounts Payable:** This is the standard term for **Creditors**.
- **Non-Cash Expenses Manipulation:** Since Depreciation and Amortization are non-cash, companies can manipulate profit by adjusting the rates or methods used. Even when using EBITDA to "ignore" these, astute investors will check the methods used to ensure they are appropriate for the industry.
- **Debt-for-Equity Swap Logic:** This is a "non-sustainable" way to increase profit. It doesn't improve performance; it simply removes an interest expense (which is a cost of debt) and replaces it with

equity (where dividends are paid **after** the profit is calculated).

- **Inventory Dynamics:** A buildup in **Finished Goods** suggests a problem with the sales channel or falling demand. A buildup in **Work in Progress** is often a positive sign of expected demand.
- **Core Red Flag (Cash Gap):** The most critical mismatch is high reported profit with low cash flow. This suggests "paper profits" created by aggressive accrual accounting or high inventory levels that aren't selling.
- **R&D & Liability Shielding:** Companies may form separate subsidiaries for R&D to keep high-risk operations off the main balance sheet. This hides risk from the primary corporate entity.
- **Off-Balance Sheet Risk:** Companies may use "Off-balance sheet" items (like guarantees) to hide debt or liabilities.
- **Bad Debt Timing:** A red flag exists if bad debts are only acknowledged or "reported" in the final quarter of the year (e.g., the 4th quarter), suggesting they were intentionally hidden during the first three quarters.
- **Related Party Sales:** Selling products to a sister company at an inflated price is a way to artificially boost revenue and profit.

Exam Pointers

- **Preparation vs. Analysis:** The exam focuses on analysis. You do not need to focus on the mechanics of Journal, Ledger, or Trial Balance for the exam.
- **Statement Preparation:** You are required to know how to prepare a Statement of Profit and Loss and a Balance Sheet.
- **Transaction Tracking:** When an item moves from one type of account to another (e.g., Rent Prepaid moving to Rent Expense), ensure it balances correctly on the equation.
- **Red Flag Identification:** Be aware that inflating "Top Line" revenue through credit sales or "Channel Stuffing" are common ways to manipulate financial statements.
- **Identify the "Why":** For the calculation-heavy portion, always ask: Is this an expense (LHS) or income/liability (RHS)? If it's a non-cash expense (Depreciation), how does it affect the transition from EBIT to EBITDA?
- **Contextualizing Growth:** When analyzing a spike in profit (e.g., in the 4th quarter), check if it aligns with the industry (e.g., FMCG/Retail during festive seasons). If it does not align with business cycles, it may be a red flag for manipulation.

Sources

- Session 1 - FMA 2026.pdf
- FMA-Class 2 -2026 accting eqn (3).pptx
- FMA-ratios -2026 jan to june (1).pptx
- Journal Ledger Trial Balance.xlsx
- Accounting Equations - solved and uploaded.xlsx
- Statement of Profit and Loss and Balance Sheet.pptx
- 12 red flags.ppx
- cash flow statement-2026.ppx